

believe in the politicians they support, the doctrines these profess, and the economic advantage flowing therefrom. It is especially easy for those seemingly so blessed to be persuaded of the new and approximately infinite opportunities for enrichment inherent in a Republican age under a Republican regime. So in 1929; so again before the crash in 1987. All so vulnerable and all so affected, whatever their politics, should be warned.

The first manifestation of the euphoric mood of the 1920s was seen not on Wall Street but in Florida—the great Florida real estate boom of the middle of that decade. Present, apart from the optimism engendered by Coolidge and Mellon, was the undoubted attraction of the Florida climate—to many, in its contrast with that of New York or Chicago, a shining discovery. And present also was leverage; lots could be purchased for a cash payment of around 10 percent. Each wave of purchases then justified itself and stimulated the next. As the speculation got fully under way in 1924 and 1925, prices could be expected to double in a matter of weeks. Who need worry about a debt that would so quickly be extinguished?



Charles Ponzi was already a convicted forger and larcenist when he began a new career selling swamp-land in Florida to unduly eager investors.

There were other compelling forces. Choice “beachfront” lots could, by a flexible approach to mensuration, be 10 or 15 miles from the water. The noted Charles Ponzi of Boston, whose name is durably associated with investment operations that paid handsome dividends to earlier investors